25901166 MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION MARCH 2026

FOURTH SEMESTER

Discipline Specific Core Course (DSC) – MG4DSCCOM200 – CORPORATE ACCOUNTING

(2024 ADMISSION ONWARDS)

Maximum Marks: 70 Duration: 2 Hours

Scheme For Valuation

Part A- Very Short Answer Questions Answer any 12 questions

Each question carries 1 mark

1. International Accounting Standards Board (IASB)
2. Paid by the shareholder (Or received by the company Or amount credited to forfeited shares account)
3. Redeemed
4. Bank A/c Dr
   To Share first call
5. Prospectus
6. One Person Company (OPC)
7. 1.Securities premium. 2.Capital Redemption Reserve (other free reserves too)
8. Cost of material consumed
9. Non current liability
10. It means the company is using more credit, so it retains more cash.
11. Investing activity
12. Sec:61
13. Internal reconstruction
14. 15000

Part B

Short answer/ problem type questions

Answer any 4 questions each question carries 7 marks

15. Journal entries (4 marks up to call money receipt and 3 marks for forfeiture and reissue entries)

Bank A/c Dr. To Share application A/c	1,20,000	 1,20,000
Share application A/c Dr To Share capital	120000	 120000
Share Allotment A/c Dr To Share capital	180000	 180000
Bank A/c Dr To Share Allotment	171000	 171000
Share first call A/c Dr To Share capital	120000	 120000
Bank A/c Dr To share first call	110000	 110000
Share final call A/c Dr To Share capital	180000	 180000
Bank A/c Dr To Share final call	162000	 162000
Share capital A/c Dr To Share allotment To Share First call To share final call To forfeited shares A/c	60000	 9000 10000 18000 23000
Bank A/c Dr Forfeited shares A/c Dr To share capital	54000 6000	 60000
Forfeited Shares A/c Dr To capital reserve	17000	 17000

(Note- Calls in arrears account can also be opened and the amount not received can be transferred thereto immediately. In such a case, Calls in arrears account is credited at the time of forfeiture)

16. Advantages of bonus issue
    a) The company does not need to pay cash.
    b) Increases Share Liquidity
    c) Indicates strong financial position and accumulated profits
    d) Rewards Shareholders
    e) Better Capital Structure

    Disadvantages
    a) No Real Wealth Increase
    b) Earnings Per Share (EPS) Falls
    c) No Cash Benefit to Shareholders
    d) Future Dividend Burden
    e) Lead to speculative Trading in stock market

17.Converting partly paid shares in to fully paid

Shate final call Ac Dr To Share capital	100000	 100000
General reserve/ P and L account a/c Dr To Bonus to shareholders	100000	 100000
Bonus to shareholders A/c Dr To Share final call	100000	 10000

Issue fully paid bonus shares

No of bonus shares issued = 30000*2.5/7.5
= 10000

Amount required = 10000*10 =100000

Capital redemption reserve A/c Dr To bonus to shareholders A/c	100000	 100000
Bonus to share holders A/c Dr To share capital	100000	 100000

Students can utilize any free reserve at any proportion, Give one march each for journal entry and 2 marks for calculation

18. **Long-term borrowings And Short-term borrowings**

Long-term Borrowings are loans or debts that are repayable after more than 12 months .
They are shown under non-current liabilities in the Balance Sheet. Short-term Borrowings are loans that must be repaid within 12 months. They are shown under current liabilities.

Provisions and short term provisions: These are liabilities of uncertain amount or timing. They are created to cover expected future expenses or losses. Can be long-term or short- term, depending on when they are expected to be settled.

Trade Payables vs Trade Receivables

Trade Payables: Amounts a business owes to suppliers for goods or services purchased on credit. It is a liability and includes Creditors and Bills Payables

Trade Receivables : Amounts owed to the business by customers for goods or services sold on credit. It is an asset and includes Debtors and Bills receivables.

19. Cash Flow from Investing Activities

Particulars	Amount
Purchase of patents (1,15,000 -90,000)	(25,000)
Sale of Land (1,00,000 – 90,000)	10,000
Purchase of Furniture (4,25,000 -2,00,000)	(2,25,000)
Sale of Non- Current Investments (1,50,000 – 1,10,000)	40,000
Purchase of Current Investments (60,000 -50,000)	(10,000)
Interest on 10% Non- current Investments (1,50,000 *10%)	15,000
Interest on Current Investments (50,000 *10%)	5,000
Net Cash used in Investing Activities	**1,90,000**

Here reduction in Plant and machinery is treated as depreciation, students may interpret it as Sales. If so, it will be considered as inflow, and the answer will be 170000-
Further, interest on investments is taken for the full year- Student can assume otherwise-
6 marks shall be awarded if all items other than interest are correct.

20.

Old Equity share capital A/C Dr. To New Equity share capital A/C To capital reduction A/C (Being equity shares reduced by ₹ 5 each)	20,00,000	 10,00,000 10,00,000
Reconstruction Expenses A/C Dr. To Bank (Being reconstruction expenses paid)	20,000	 20,000
Capital reduction A/C Dr. To Profit and Loss A/C To Goodwill To Plant and Machinery To Reconstruction Expenses **To Capital reserve (B/F)** (Being balance of capital reduction account transferred to capital reserve account)	10,00,000	 2,00,000 4,50,000 2,50,000 20,000 80,000

Part C

Essay -Problem type questions

Answer any two questions each carries 15 marks

21.

Statement of Profit and Loss (Calculations and approach – 9 marks)

Particulars	Note No,	Amount
I. Revenue from operation		132000
II. Other income		
III Total revenue(I+II)		132000
IV. Expenses		
Cost of materials consumed		
Purchase of stock in trade		40800
Change in inventories	1	-15900
Employee benefit expenses	2	6600
Finance cost	3	10200
Depreciation and amortization expenses		9000
other expenses	4	12300
Total expenses		63000
V. Profit before exceptional and extraordinary items and tax		69000
VI Taxation Provision		15000
Profit after Tax		54000

Notes

Note No 1 Change in inventories	
opening inventory	9000
Less Closing inventory	24900
	-15900
Note No .2 Employee benefit expenses	
Wages	3000
Salary	3600

	6600
Note No. 3 Finance Cost	
Interest on debentures	7200
Interest on bank Loan	3000
	10200
Note No. 4 Other Expenses	
Office expenses	8400
insurance	3900
	12300

Surplus Statement		
Profit after Tax		54000
Surplus Account		39000
Less Transfer to reserve		18000
Balance Transferred to Balance sheet		**75000**

Balance sheet as at 31-03-20xx (6 marks)

Particulars	Note No	Amount
Equity and liabilities:		
1)Shareholders fund		
Share capital		
30,000equity shares@10 each 8 paid		240000
2)Reserves &Surplus	5	147000
3) Non Current liabilities		
Long term borrowings	6	120000
4)Current liabilities		
Trade payables	7	15000
Short term provisions- Taxation		15000
Total		**537000**
Assets		
1)Non current assets		
Fixed assets		
Tangible assets	8	270000
Noncurrent investments		150000
2)Current assets		
Inventories		24900
Trade receivables	9	72900
Cash and cash equivalents	10	19200
Total		**537000**

Notes to Accounts

Note No. 5 Reserves and surplus	
Surplus balance	75000
General reserve 54000+18000	72000
Total	147000
Note No. 6 Non current Liabilities	
8% debentures	90000

10% bank Loan	30000
Total	120000
Note No. 7 Trade Payables	
Creditors	12000
Bills Payable	3000
Total	15000
Note No. 8 Tangible assets	
Furniture	90000
Plant and machinery	180000
Total	270000
Note No. 9 Trade receivables	
Debtors	72000
Bills receivables	900
Total	72900
Note No. 10 Cash and cash equivalents	
Cash in hand	14700
cash at bank	4500
Total	19200

22. **Cash flow Statement**

Particulars	**Amount**	**Amount**
A. **Cash Flow from Operating Activities:**		
Cash Sales	48,00,000	
Cash paid to suppliers (Creditors)	(35,50,000)	
Cash paid for administrative & selling expenses	(3,60,000)	
Cash flow from Operations	8,90,000	
Tax Paid	(1,50,000)	
Net cash used in Operating Activities		7,40,000
B. Cash Flow from Investing Activities:		
Purchase Of Fixed Assets	(6,00,000)	
Net cash used in Investing Activities		(6,00,000)
C. **. Cash Flow from Financing Activities:**		
Dividend paid	(1,20,000)	
Net cash used in Financing Activities		(1,20,000)
Net increase in Cash Flow (A+B+C)		**20,000**
Add: Opening balance of Cash in hand		50,000
Cash in hand at the end		70,000

(Cash from operating activities- 8 marks, others – 3 marks- Format and answer- 4 marks)

23. **Entries- 9 marks**

7% preference share capital A/C Dr. To 10% preference share capital A/C To Capital reduction A/C (Being 7% preference share capital reduced by ₹ 40 %)	3,00,000	 1,80,000 1,20,000
Old Equity share capital A/C Dr. To New equity share capital To Capital reduction A/C (Being equity share capital reduced by ₹ 50 each)	4,00,000	 2,00,000 2,00,000
Land and Building A/C Dr. To Capital reduction A/C (Being land and building appreciated by 30 %)	45,000	 45,000
Old Debenture A/C Dr. To New Debenture A/C To capital reduction A/C (Being debenture can be reduced by 20 %)	3,00,000	 2,40,000 60,000

Capital reduction A/C Dr. To Profit and Loss A/C To Goodwill To patents To preliminary expenses To capital reserve A/C (B/F) (Being intangible assets and fictitious assets are written off and balance of capital reduction account transferred to capital reserve account)	4,25,000	 2,70,000 60,000 30,000 25,000 40,000
Bank A/C Dr. To Equity share capital (Being issue of equity share for acquiring machinery)	1,00,000	 1,00,000
Plant and machinery A/C Dr. To Bank (Being plant and machinery purchased	1,00,000	 1,00,000

Balance sheet as at 31-03-20xx (6 marks)

Particulars	Note No	Amount
Equity and liabilities:		
1)Shareholders fund		
Share capital		
Equity shares@100 each 50 paid		3,00,000
10% preference shares of Rs. 10		1,80,000
2)Reserves &Surplus -Capital reserve		40,000
3) Non Current liabilities		
Long term borrowings Debentures		2,40,000
4)Current liabilities		
Trade payables		2,00,000
Profit prior to incorporation		10,000
Total		**9,70,000**
Assets		
1)Non current assets		
Buildings 150000+45000		195000
Machinery 300000+100000		4,00,000
Noncurrent investments		-
2)Current assets		
Inventories		2,20,000
Trade receivables		1,50,000
Cash and cash equivalents 5000+100000-100000		5000
Total		**9,70,000**

- Profit prior to incorporation may be shown under Reserves.